



The Morning Brief

MAY 11, 2026

Validation

AMD's Q1 delivers \$5.8B in data center revenue and the S&P closes at 7,399 for a sixth consecutive winning week, but Trump calls Iran's counter-proposal "totally unacceptable" on Day 73.

SPY	BRENT CRUDE	GOLD	AMD	FEAR & GREED
\$737.62 ↑0.83%	~\$106 ↓1.0%	~\$4,770 ↑0.5%	\$455.19 ↑11.44%	48 · Neutral

SECTION 01

Markets

S&P CLOSES AT ~7,399 — SIXTH CONSECUTIVE WINNING WEEK

Friday capped the strongest sustained equity rally since the conflict began. SPY closed at \$737.62 (+0.83%), with the S&P 500 closing at approximately 7,399 according to CNBC—a fresh all-time high and the sixth consecutive winning week, the longest streak since 2024. The Nasdaq surged 2.34% to its own all-time high above 26,000. The Dow was essentially flat (+0.04%) as the advance concentrated in tech (+3.44%). The breadth narrowed on Friday: only four of eleven sectors closed positive, with materials (+0.37%), discretionary (+0.27%), and staples (+0.24%) contributing alongside tech. Healthcare (−0.85%), utilities (−0.89%), and financials (−0.60%) lagged. April nonfarm payrolls came in at 115,000, beating forecasts, with unemployment holding at 4.3%—a labor market data point that reinforced the constructive macro picture without altering the Fed's hold posture. Fear & Greed eased slightly to 48 from 50, remaining in neutral territory.

AMD DELIVERS THE QUARTER THE THESIS REQUIRED

AMD's Q1 2026 results, reported after the May 5 close, validated the AI infrastructure thesis at the center of IOWN's semiconductor sleeve. Revenue reached \$10.3 billion (+38% year-over-year), exceeding the \$9.85 billion consensus by more than 4%, per CNBC. Data center revenue surged 57% to \$5.8 billion, driven by EPYC server CPU and Instinct GPU adoption among hyperscalers. Non-GAAP EPS of \$1.37 beat the \$1.27 consensus by 8%. Gross margin expanded 170 basis points year-over-year to 55%. The company generated record quarterly free cash flow of \$2.6 billion, more than tripling from the prior year. Q2 guidance of \$11.2 billion (±\$300 million) implies 46% year-over-year growth. AMD closed Friday at \$455.19, up 11.44% on the session, extending its post-earnings advance. QCOM gained 8.17% and MRVL

(one of the Q2 additions) surged 6.32% in sympathy. The semiconductor sleeve—AMD, NVDA, TSM, MRVL, CRDO, NXPI, KEYS, ADI—is the portfolio's highest-conviction secular growth exposure.

CTRA −8.62% — THE FIRST NEW HOLDING UNDER PRESSURE

Coterra Energy, added to the dividend sleeve in the Q2 rebalance, fell 8.62% to \$32.56 on Friday. The company's Q1 earnings showed mixed results: net income declined to \$466 million from \$516 million year-over-year, though cash from operations surged 44% to \$1.646 billion, per StockTitan. The pending all-stock merger with Devon Energy—approved by shareholders and expected to close around May 7—may be contributing to the price action as merger arbitrage dynamics play out. The decline is notable as the first meaningful

drawdown in a Q2 addition, but the thesis remains intact: dual-basin exposure (Permian oil + Marcellus gas) provides upstream energy diversification that complements VLO's downstream refining. SUPV also fell sharply (-7.11%), and VST gave back 4.05% after its strong recent run.

S&P 500	~7,399 · ATH · 6th consecutive winning week
AMD Q1	\$10.3B rev (+38%) · DC \$5.8B (+57%) · EPS \$1.37 beat
Q2 GUIDE	\$11.2B · +46% YoY · Record FCF \$2.6B
APRIL NFP	+115K · Beat forecast · Unemployment 4.3%
CTRA	↓8.62% · Mixed Q1 + Devon merger dynamics
FEAR & GREED	48 · Neutral · Steady

AMD's quarter answered the question the portfolio was built to ask: does physical AI infrastructure demand persist through geopolitical disruption? Data center revenue up 57%. Free cash flow tripling. Q2 guidance at 46% growth. The answer is unambiguous. The physical world matters.

Geopolitics

DAY 73 — TRUMP CALLS IRAN'S COUNTER-PROPOSAL UNACCEPTABLE

Diplomatic efforts to end the war have stalled again. Trump posted on Truth Social Sunday that Iran's latest peace counter-proposal was "totally unacceptable," per CNN. Iran's counter-proposal reportedly included recognition of sovereignty over the Strait of Hormuz, compensation for war damages, release of frozen assets, lifting of sanctions, and an end to fighting on all fronts including Lebanon. CNBC reported that Iran stated it would "never bow." The gap between the two positions has not narrowed meaningfully since the Islamabad talks collapsed in April. Bloomberg characterized the situation as both sides "wrangling over terms." For markets, the failed peace dynamic has become background noise rather than a catalyst: the S&P posted its sixth consecutive winning week despite Day 73 of the conflict and no resolution framework. Oil rose modestly on the rejection but Brent remains well below the \$115 highs of late March.

HORMUZ REMAINS A TRICKLE — THREE TANKERS EXITED WITH TRACKERS OFF

Shipping data cited by Reuters showed three tankers laden with crude exited the Strait of Hormuz last week with their AIS trackers switched off to avoid Iranian targeting. The waterway, which carried one-fifth of global oil and LNG flows before the war, continues to operate at a fraction of pre-conflict levels. Operation Project Freedom's escort operations are enabling some movement, but the transit risk premium remains prohibitive for most commercial operators. South Korea condemned the attack on the HMM Namu and vowed a response. Turkey's foreign minister visited Qatar for talks on the war. The structural supply disruption persists even as

the equity market has priced through it—a divergence that continues to support IOWN's energy sleeve at elevated revenue levels.

TRUMP ON IRAN	Counter-proposal "totally unacceptable"
IRAN POSITION	Hormuz sovereignty · Reparations · "Never bow"
HORMUZ	3 tankers exited with AIS off · Trickle vs. pre-war 120/day
OIL	Brent ~\$106 · Rising on rejection but below March highs
CIRCLE	\$222M raised from BlackRock, Apollo · Arc token presale \$3B valuation

On Our Radar

1. AMD's Q2 guidance at \$11.2 billion sets the bar for the semiconductor sleeve. The 46% year-over-year growth implied by midpoint guidance accelerates from Q1's 38%, confirming that AI infrastructure spending is not decelerating. MRVL (+6.32% Friday) and CRDO are positioned as the optical and connectivity layers of the same AI build-out. TSM (+5.17% last Friday) validates the manufacturing capacity thesis. The sleeve's next test is NVDA's earnings, expected later this month. *Research Reveals Opportunities.*

2. The CTRA-Devon merger and CTRA's 8.62% decline warrant monitoring. The all-stock merger with Devon Energy was approved and expected to close around May 7. Merger arbitrage dynamics often create temporary pressure on the acquiree. The underlying thesis—upstream energy diversification with dual-basin Permian/Marcellus exposure—is unchanged, and Q1 cash from operations of \$1.646 billion (+44%) confirms the operational strength. The energy sleeve's role is transitioning from war-premium to structural-supply as Hormuz normalization remains distant. *Think Like an Owner.*

3. Circle's \$222 million raise from BlackRock and Apollo is a structural digital asset signal. The Arc token presale valued at \$3 billion underscores continued institutional capital formation in crypto infrastructure. Combined with Morgan Stanley's MSBT Bitcoin ETF and the SEC day-trading rule elimination, the medium-term adoption trajectory for the digital sleeve (COIN +4.25%, HOOD, MARA, HUT) continues to strengthen even as the near-term price action oscillates with geopolitical headlines. **Simplicity Over Complexity.**

4. Six consecutive winning weeks raises the question of sustainability. The streak is the longest since 2024, per CNBC. Fear & Greed at 48 is no longer providing a positioning tailwind—the easy gains from institutional catch-up are behind us. From here, the market needs continued earnings delivery (AMD set the bar), labor market resilience (April NFP at 115K helped), and geopolitical stability (Trump's rejection of Iran's proposal complicates this). The portfolio is positioned for the fundamental case, not the momentum case. *Avoid Erosion.*

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